Brazil Macro Monthly

2027 reforms gain relevance amid positive short-term outlook

- Global outlook remains uncertain for EMs, particularly after the US action in Venezuela. Still, market prices have remained relatively calm recently. The announcement of the Fed's new Chair is another key development in the coming weeks.
- The October presidential elections are set to dominate political discussions in Brasília throughout 2026. Mounting tensions across Latin America add an additional layer of complexity to the political chessboard.
- A tight labor market and fiscal impulses should keep GDP growth close to potential. We forecast 2.3% in 2025 and 1.7% in 2026. Nonetheless, political uncertainties, fiscal adjustment measures, and still restrictive financial conditions are likely to weigh on 2027 GDP, for which we anticipate 1.2% growth.
- The government should meet its primary result targets for 2026 and 2027 with additional revenue-boosting measures. However, we believe that spending reforms will be essential from 2027 onwards to ensure the sustainability of the fiscal framework and to stabilize public debt.
- The expected reacceleration of GDP this year, together with lower commodity prices, should keep the current account deficit elevated, at 3.0% of GDP. In 2027, softer domestic demand is likely to curb imports of goods and services, bringing the deficit down to 2.4% of GDP.
- High risk premia and current account deficit will prevent a further exchange rate appreciation. We forecast 5.60 reais per dollar in YE 2026 and 5.80 in YE 2027.
- We have lowered our projection for the 2026 IPCA inflation from 4.2% to 4.0%, in line with well-behaved wholesale prices and lower oil prices. We also forecast inflation of 4.0% in 2027, reflecting the persistent de-anchoring of medium-term expectations.
- The central bank should start a monetary easing cycle in March. We see five consecutive 50-bp cuts until the Selic rate reaches 12.50%, followed by a pause for evaluation. In a scenario of insufficient fiscal adjustment in 2027, we see limited room for additional cuts, to 11.00%.

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XP Forecasts

	2020	2021	2022	2023	2024	2025 (F)	2026 (F)	2027 (F)
Economic Activity								
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,280	2,434	2,463
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,779	12,721	13,509	14,287
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.3	1.7	1.2
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	5.3	5.8	6.2
Inflation								
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.3	4.0	4.0
Monetary Policy								
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	12.5	11.0
Public Finances								
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.3	-0.3
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	0.0	0.5
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.4	-0.5
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.2	-8.3	-8.2
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	79.1	84.0	88.3
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.5	70.1	74.2
External Accounts and FX								
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.49	5.60	5.80
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	59.7	58.2	63.3
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	351.6	354.1	364.3
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	291.9	295.9	301.0
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-72.4	-73.3	-60.2
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-3.0	-2.4
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	79.5	75.0	79.0
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.5	3.1	3.2

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – Looking through 2026

Every January, we present for the first time our forecasts for the year "t+1" (2027 this time around). It is normally difficult to make forecasts two years in advance in a volatile emerging market economy like Brazil. The 2026 presidential elections – that will probably be as tight as it can be – make this exercise even more challenging.

Global outlook, which has been positive for EMs, is reaching new levels of uncertainty after the US actions in Venezuela. Despite all the noise and discussions, market prices haven't changed much.

In Brazil, the outlook for 2026 seems a relatively predictable one. Economic activity is losing steam gradually, and inflation is trending down, helped by global disinflation (energy, food) and stronger BRL. Despite some depreciation in December, the Brazilian currency closed 2025 10% up against the USD.

That scenario will allow the Central Bank to start a monetary easing cycle this year, most likely in March. The monetary authority will remain cautious to ensure that current inflation and inflationary expectations continue to converge to the 3.0% target. We see the Selic rate at 12.50%, after five consecutive 50-bp cuts.

Fiscal policy also tends to face a relatively calm 2026. The government's targets for this year and next are not very challenging, especially after the approval of the bill proposal reducing tax benefits (Comp. law No. 224/25). The debt-to-GDP ratio will keep rising, probably by another 3-4 pp of GDP. But this is "priced in". More important will be the perspective of fiscal reforms for the coming administration.

Fiscal reforms should indeed take center stage during the presidential election campaign. A reformist approach, that aims to curb expenditure growth over time, should lead to a more optimistic scenario in 2027 and onwards (lower interest rates, predictable tax system, inflation under control). A populist approach, in turn, may lead to fiscal crisis and higher inflation at some time in the future, as public debt would keep rising.

Our base case scenario lies in the middle. Some measures will probably be taken to curb spending growth – but not enough to provide fiscal sustainability. This scenario of "insufficient adjustment" may work for a while, depending on the economic policy team that takes office in 2027. In any event, this would mean an unsustainable equilibrium.

Global backdrop – A less favorable environment for EMs ahead

Caio Megale

A good year for EM asset prices. 2025 was marked by heightened geopolitical tensions and noisy politics around the world. But overall economic performance was relatively good. Risks of recession in the US (due to higher tariffs) and/or in China (housing bubble, over-indebted consumers) did not materialize. At the same time, inflation remained under control, allowing many central banks to cut interest rates.

Uncertainty persists. Fiscal deterioration in developed economies should limit the room for further monetary stimulus. We may even see rate hikes in Europe or Japan. Even more relevant than the short-term policy rates, long-term yields will probably remain elevated, reflecting the major economies' substantial financial needs.

Limited room for interest rate cuts in the US. Economic activity and labor market are cooling, but inflation remains stubbornly above the target. Moreover, the technology sector should prevent the economy from decelerating much. Thus, we expect a final cut in January (or March), followed by a pause for evaluation that should lead the Fed to keep the policy rate unchanged for the rest of the year.

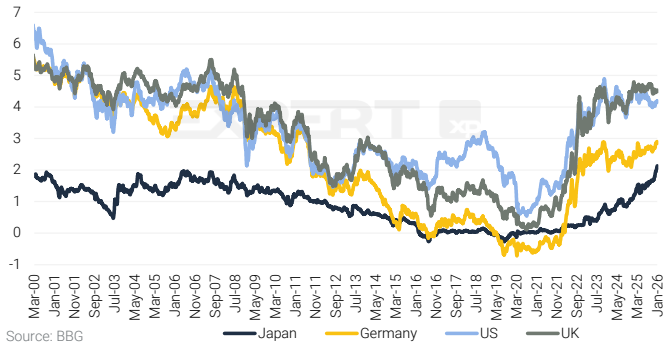
New Fed Chair: volatility or relief? President Trump should announce the next Federal Reserve Chair in the coming weeks. The market fears that Trump picks a less-technical, more political name. This populist decision would put at risk the Fed's key role as stabilizer and liquidity provider, not to mention the effect on the US institutions' credibility and on the US dollar. Chances are, however, that the President opts for a more orthodox name, which would be a relief for asset prices.

China and commodity prices remain a risk. The Chinese economy is losing steam, primarily due to weak domestic consumption. Another round of stimulus seems to be in the making, but market pundits are getting increasingly suspicious about the effectiveness of the measures. If the government fails to stabilize growth, this could negatively impact commodity prices and hurt Brazil and other commodity exporters. Oil prices require particular attention, especially if the US government succeeds in resolving the conflict between Russia and Ukraine.

The Venezuela imbroglio. Global uncertainty reached a new level after the US military action in Venezuela. It is still early to grasp its geopolitical consequences, particularly for Latam. But it is a relevant component for the region's economic and political outlook this year.

Higher interest rates in developed economies pose a risk to emerging market assets

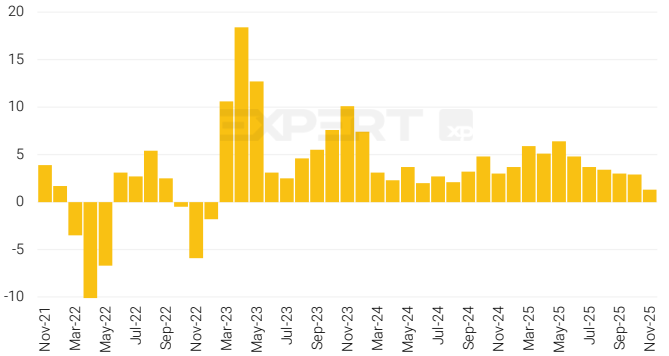
10Y Sovereign bond yields (%)



Source: BBG

Domestic demand in China continues to lose momentum despite significant government stimulus

Retail sales - YoY (%)



Source: BBG

BRAZIL – 2027 reforms gain relevance amid positive short-term outlook

Political environment – 2026 begins with elections on the radar, and attention focused on the crisis in Venezuela

Paulo Gama and XP Politics

The political year of 2026 begins focused on the presidential elections and the implications for Brazil of the US military action on Venezuela.

On the electoral front, attention remains on Flávio Bolsonaro's pre-candidacy and the senator's ability to demonstrate whether he can be a competitive name in the race for the Planalto Palace. We expect increasing public exposure in the coming months, with the senator presenting himself as his father's successor on the one hand, while seeking signals of greater moderation than the former President on the other. Rejection rates — the main obstacle to a potential second round – should be the primary variable observed by Brasília and is expected to dictate the course of other center-right parties for the election.

Meanwhile, President Lula has recovered his approval rating since the tariffs imposed by Donald Trump. He now enters the re-election year with competitive popularity levels — even though the inclusion of public security in the debate agenda has shown limits to this recovery.

It remains to be seen whether the public policies to be implemented by the Planalto Palace in 2026 will be sufficient to force a resumption of Lula's growth curve or if the resistance represented by the debate over violence will impose a more prolonged period of attrition for the President. Regarding the outcome of the presidential race, the trend is for the scenario to remain open until the final stretch of the election.

January will also mark the initial effects of the renewed Income Tax framework, following the expansion of the tax base exemption for monthly earnings up to BRL 5,000. The government sees the tax reform, which also reduced the burden for those earning up to BRL 7,350, as its main electoral tool – reinforcing the speech of tax justice and the fight against privileges. The latter is supported by the increase in dividend taxation, which also composed the reform.

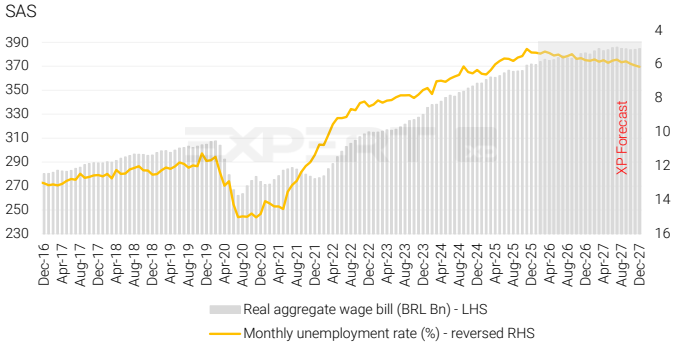
The reform is likely to boost perceived income level, but the government's approval rating depends on other variables, such as the cost of living and others that may overshadow the tax change. Beyond the effect on the President's popularity, markets will monitor the risk of renewed fiscal expansion policies, despite current fiscal rules and electoral legislation.

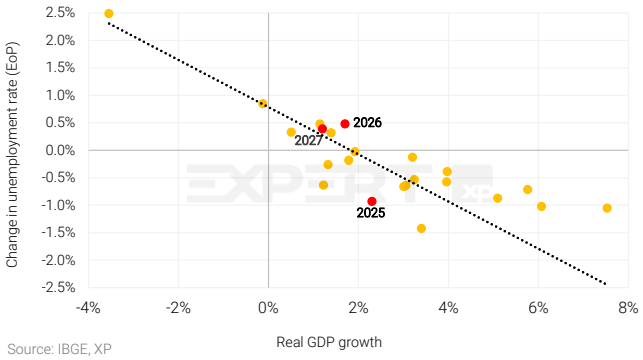
The capture of Venezuelan President Nicolás Maduro by the US administration may also impact the Brazilian electoral race. Despite formally condemning President Trump's action, the initial reaction from the Planalto Palace is one of caution. The government knows this should be handled carefully and with pragmatism to avoid domestic spillover effects.

Opposition leaders, on the other hand, saw the episode as an opportunity to try to wear down Lula, given the PT's (Workers' Party) stance of alignment with the Venezuelan regime. Noteworthy here are the statements from the Bolsonaro family and the Governor of São Paulo, Tarcísio de Freitas, who is resuming his participation in national agendas — notwithstanding former President Jair Bolsonaro's choice of his son, Flávio Bolsonaro, as the successor for the right.

Labor market will remain tight, with the unemployment rate at all-time lows and real income on the rise

SAS





Source: IBGE, XP

Activity – The resilience scenario holds

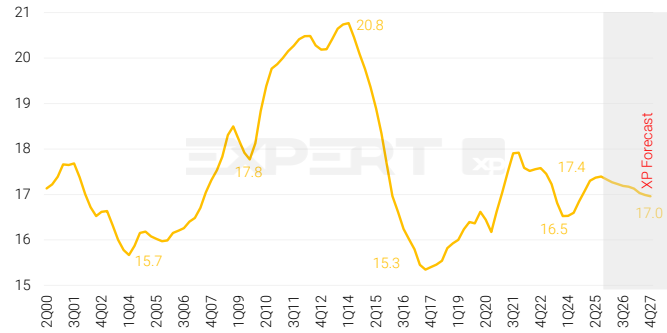
Rodolfo Margato

Brazilian economy slowed down in 2025. Domestic activity lost steam throughout last year, driven by contractionary monetary policy and elevated indebtedness of firms and households. In addition, fiscal policy contributed less to economic growth, especially in the first half. By contrast, sectors less sensitive to the economic cycle — agriculture and extractive industry — expanded strongly, reflecting the record grain harvest and higher oil output. **Overall, we estimate that GDP grew 2.3% last year,** following four consecutive years of growth above 3.0%. Excluding the contribution of the two primary sectors mentioned above, GDP would have increased by 1.4% in 2025, substantially below the 3.6% rise in 2024.

Income and credit impulses should keep GDP growth close to potential in 2026. The environment of high interest rates — above the neutral level — will not be reversed anytime soon (see Monetary Policy section). Nonetheless, stimulus measures are expected to support domestic demand, particularly consumption. These include: (i) the Personal Income Tax (IRPF, in Portuguese) reform, which will increase the real household disposable income; (ii) government programs aimed at the construction sector; and (iii) the expansion of earmarked corporate credit, boosted by public banks. In addition, we expect an acceleration in new payroll deductible loans for private sector workers — whose originations fell short of expectations last year — and a sizable increase in investments by State governments. **Accordingly, we maintain our projection of 1.7% for 2026 GDP growth, with upside risks.** This scenario assumes a statistical carryover effect of 0.3 pp from 2025 GDP and average QoQ growth of 0.5%. In other words, an acceleration after the weak performance in the second half of last year.

Increased spending by State governments will soften the slowdown in fixed asset investment

Investment rate, at constant values (% of GDP)



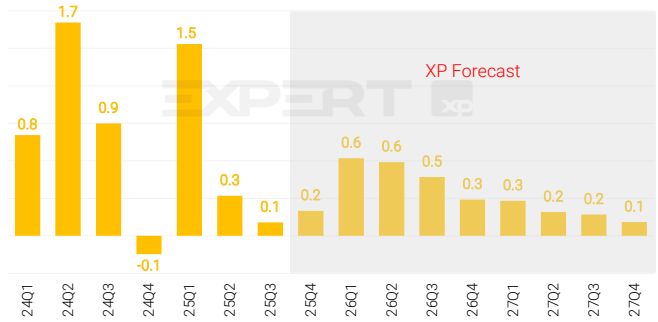
Source: IBGE, XP

Labor market will remain tight, despite recent signs of stabilization. The employed population has decreased (moderately) in recent months, reflecting the economic slowdown. Even so, the unemployment rate remains at all-time lows (between 5.0% and 5.5%), and real wages continue to rise. The decline in the labor force participation rate and labor shortage contribute to this scenario.

Reduced fiscal stimulus should lead to below potential growth in 2027. Despite the monetary easing cycle expected for this and next year, interest rates will remain high. Moreover, fiscal/quasi-fiscal impulses will likely be smaller in 2027, in line with our baseline scenario of *still insufficient* spending containment measures next year. Restrictive financial conditions and uncertainties around the fiscal consolidation agenda tend to weigh on domestic demand, especially investments in fixed assets. **Therefore, we project that GDP will rise by 1.2% in 2027, below potential (around 2.0%).** The output gap — the measure of slack representing the difference between actual and potential GDP — will turn negative by mid next year, according to our estimates.

GDP growth is expected to remain close to potential in 2026 and lose momentum in 2027

Total GDP. QoQ SAS (%)



Source: IBGE, XP

XP Forecast (%)

GDP Breakdown	2023	2024	2025 (F)	2026 (F)	2027 (F)
Agriculture & Livestock	16.3	-3.7	11.0	1.5	3.0
Industry	1.7	3.1	1.6	1.3	0.7
Services	2.8	3.8	1.8	1.8	1.4
Total GDP	**3.2**	**3.4**	**2.3**	**1.7**	**1.2**
Household Consumption	3.2	5.1	1.4	1.9	1.5
Government Consumption	3.8	2.0	1.7	1.6	1.1
Gross Fixed Capital Formation	-3.0	6.9	4.0	1.4	-0.5
Exports	8.9	2.8	4.7	2.8	2.5
Imports (-)	-1.2	15.6	5.0	2.1	1.6

Source: IBGE, XP

Public finances – Fresh revenues reduce risks for 2026, but deeper reforms are still needed in 2027

Tiago Sbardelotto

The 2025 primary balance target should be met, with the help of extraordinary revenue. Tax collection continues to grow, but at a slower pace — a real increase of 3.9% in the year to November, compared to 9.9% in the same period of 2024. On the expenditure side, stronger discretionary execution at the end of the year remains a risk. Nevertheless, thanks to the inflow of at least BRL 20 billion in extraordinary revenues (dividends from state-owned companies and oil auctions), the government probably achieved the 2025 primary balance target. **Our estimate indicates a total deficit of BRL 61.2 billion (0.5% of GDP) and a deficit for the purpose of meeting the target of BRL 16.7 billion (0.1% of GDP).** Therefore, within the range between the lower bound (deficit of BRL 31 billion) and the midpoint of the target (zero).

Fiscal balance should reach the lower bound of the target this year... The government approved additional revenue measures late last year (reduction of tax expenditures coupled with higher tax rates on fixed-odds betting, financial institutions, and interest on equity) that should allow to meet the primary balance target this year. We expect a total deficit of BRL 45.8 billion (0.3% of GDP). Excluding off-target expenditures, we project a surplus of BRL 4.0 billion (0.0% of GDP), within the range between the lower band (zero) and the midpoint of the primary balance target (BRL 34.3 billion).

BRL Bn

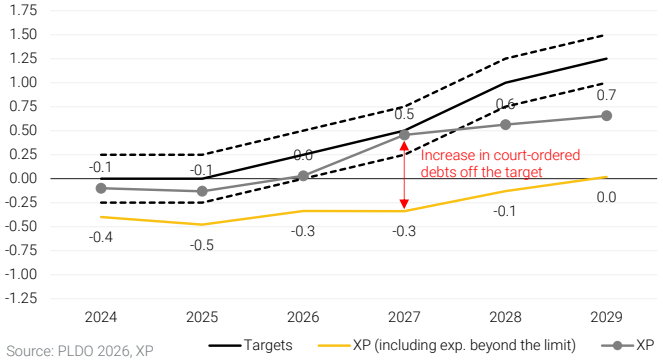
Additional revenues for 2026	Budget	XP
Taxation of exempt securities	-	-
Increase in betting tax	0.6	0.7
Increse in CSLL for financial entities	0.8	0.8
Increase in Interest on Equity taxation (IoE)	2.5	2.5
Limitation of tax credits	10.0	10.0
Tax expenditures reduction	19.8	16.3
Comprehensive Tax Settlement Program	20.0	10.0
Oil auctions	31.0	25.0
Dividends (extraordinary part only)	20.0	20.0
Non-tax transactions	7.0	7.0
Increase in import tax	14.0	-
Other	2.2	-3.0
Total	**127.9**	**84.1**

Source: 2026 budget bill, XP.

...but expenditures still need to be adjusted to comply with the spending limit. Congress made significant changes to the annual budget law, increasing discretionary spending at the expense of mandatory ones. We understand adjustments will be necessary in categories such as social security benefits and BPC/LOAS, among others - which we calculate as underestimated. **Ultimately, we see the need for a block of at least BRL 6 billion for the government to comply with this year's spending limit.** In all, we believe that discretionary spending will remain high.

The 2027 target is not challenging, but pressure on expenditures is mounting. The exclusion of a significant portion (90%) of expenditures related to Court-ordered debts from the primary result target will widen the gap between the actual primary balance and that needed for complying with the formal target. We estimate a deficit of BRL 49.0 billion (0.3% of GDP); nonetheless, considering the exclusions for the purpose of calculating the target, we project a primary surplus of BRL 66.2 billion (0.5% of GDP). On the expenditure side, we foresee much greater pressure, as the growth in mandatory spending should bring discretionary expenditures (i.e. those that can be freely executed) to **BRL 100 billion, well below recent years.**

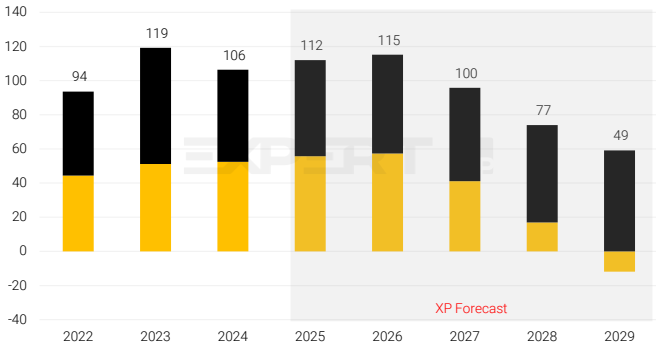
The government is expected to meet its 2026 and 2027 targets through additional revenues and expanded exemptions
Primary balance and targets (% of GDP)



Source: PLDO 2026, XP

Risks to fiscal execution in 2026 and 2027 persist. On the revenue side, the greatest risk lies in a more significant slowdown in economic activity and lower oil prices. On the expenditure side, social security benefits and BPC/LOAS may surprise, given that the backlog of benefit claims has reached an all-time high and the pace of its reversal may increase expenditures beyond expectations – we have incorporated a partial reversal of the backlog in 2026 and 2027.

Reforms on the spending side are key to avoid a shutdown in 2028
Discretionary spending and investments at 2026 prices (BRL Bn)



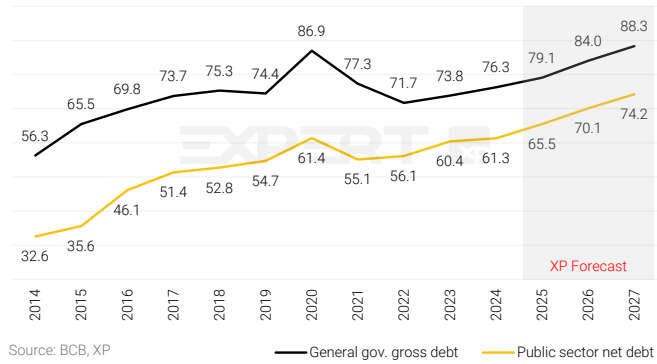
Source: STN, XP

Free discretionary
Minimum investment

Regional governments are still performing well, but state-owned companies show deterioration. Although States and Municipalities maintained good results throughout last year, they continue to show a downward trend due to weaker tax collection and accelerating spending ahead of the election cycle. The deficit of state-owned companies, in turn, continues to increase, driven by federal state-owned entities. **Thus, for the consolidated public sector (federal government, regional governments, and state-owned companies), we forecast primary deficits of BRL 60.7 billion in 2025 (0.5% of GDP), BRL 49.3 billion in 2026 (0.4% of GDP) and BRL 35.1 billion in 2027 (0.2% of GDP).**

Debt growth is a concern. We project that the General Government Gross Debt (GGGD) will reach 79.1%, 84.0% and 88.3% of GDP at the end of 2025, 2026, and 2027, respectively. Net Public Sector Debt (NPSD) is expected to reach 65.5%, 70.1% and 74.1% of GDP. Importantly, the cost of debt will continue to rise in 2026, even considering the expected monetary easing cycle.

Meeting fiscal targets should not be enough to stabilize debt-to-GDP ratio
(% of GDP)



Source: BCB, XP

Is 2027 the year of reforms? According to our baseline scenario, discretionary spending will reach a very low level starting in 2028, causing a virtual shutdown in public services. On such occasions, fiscal rules tend to be abandoned to accommodate new spending. Thus, any government taking office in 2027 must

carry out spending reductions to maintain the fiscal framework. However, the scope and magnitude of these reforms imply different scenarios. More robust reforms that reduce budgetary constraints and indexation have the potential to improve primary results and lower the neutral interest rate, setting the country on a sustainable growth path. Milder reforms, on the other hand, only postpone the problem, maintaining the "higher interest rates and higher inflation" equilibrium.

For now, our baseline scenario considers additional reforms, but not enough to ensure public debt stabilization. We understand this scenario is subject to change, being especially contingent on the global outlook and on the credibility of the economic team that will take office in 2027.

External Accounts – Higher risk premium and wider current account deficit will prevent the BRL from strengthening further

Luíza Pinese

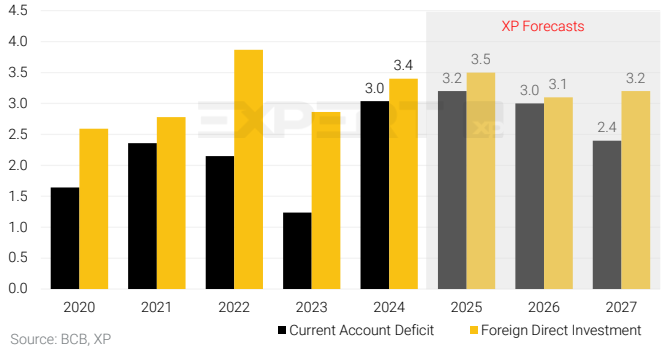
Further deterioration of external accounts in 2025. After doubling in 2024, the current account deficit widened by USD 11 billion in cumulative terms through November 2025. The deterioration was driven primarily by stronger imports – despite a deceleration in domestic activity – and, to a lesser extent, by higher profit remittances from companies with non-resident equity participation. Export growth remained solid, preventing an even wider external imbalance. **Overall, we estimate that the current account deficit reached USD 72.4 billion in 2025 (3.2% of GDP).**

We lifted our 2026 current account deficit forecast, from USD 67.5 billion (2.8% of GDP) to USD 73.3 billion (3.0% of GDP). The numbers reflect i) lower oil prices that reduce trade surplus – we adjusted our hypothesis to 60 from 65 dollars per Brent barrel; and ii) stronger primary income outflows, consistent with the resilience observed in recent data releases. On the positive side, we continue to expect another record agricultural harvest, while crude oil and meat export volumes should remain on an upward trajectory. The latter stands despite the recent Chinese safeguard, which imposed a prohibitive tariff on Brazilian beef shipments above the established quota.

Risks remain. A reacceleration of domestic demand spurred by income and credit stimulus poses an upside risk for imports and, therefore, for the current account deficit this year.

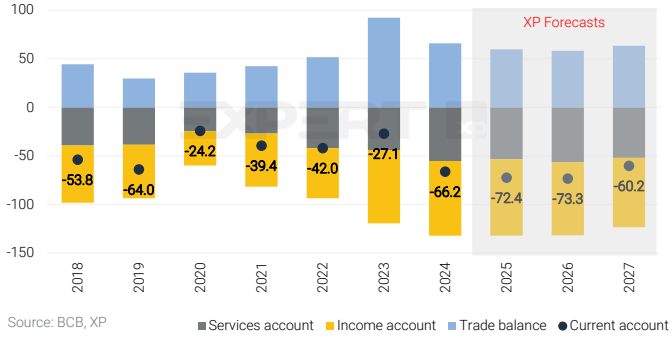
Below-potential growth in 2027 should ease external pressures. We see domestic demand losing steam in 2027 due to restrictive fiscal and monetary policies. That should lead to lower imports of goods and services and reduce profit and dividend remittances to non-residents. Moreover, the lagged

Current account deficit will remain high in 2026, but FDI inflows should provide some relief to external accounts
(% of GDP)



Source: BCB, XP

Weaker economic growth in 2027 is likely to curb imports of goods and services, narrowing the current account deficit
USD Bn



Source: BCB, XP

effects of the US interest-rate cutting cycle are expected to continue lowering the interest deficit within the Primary Income account. Exports, in turn, should remain resilient, supported by a still favorable outlook for the grain harvest – reflecting expanded planted area – and by global growth of around 3.2% (IMF projections). **We project the current account deficit to narrow to USD 60.2 billion in 2027 (2.4% of GDP).**

Foreign Direct Investment (FDI) inflows to remain robust. Despite heightened global uncertainty, FDI inflows surprised positively throughout most of 2025. Data through September point to stronger investment in metallic mineral extraction and the pulp and paper sectors. **Our estimate for 2025 FDI remained at USD 79.6 billion (3.5% of GDP),** although risks persist related to potential changes in the taxation of dividend remittances abroad, which could have weighed on reinvested earnings toward year-end.

Looking ahead to 2026 and 2027, we believe Brazil will remain attractive to new investments, even amidst domestic and trade-related uncertainties. This outlook is underpinned by opportunities in sectors such as critical minerals and data centers. Accordingly, we project net FDI inflows of USD 75.0 billion in 2026 (3.1% of GDP)—a level broadly comparable to 2025, when excluding large transactions above USD 1.0 billion—and USD 79.0 billion in 2027 (3.2% of GDP).

Exchange rate to reflect domestic and global uncertainties

We have raised our 2026 exchange rate forecast to 5.60 reais per dollar, from 5.50 previously. The BRL appreciated almost 10% last year, mostly due to external factors (weaker USD globally). For 2026, we see domestic fiscal and political uncertainties weighing on the exchange rate.

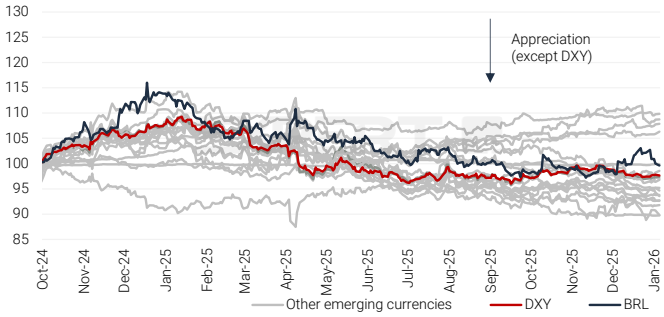
For 2027, our assumption of insufficient fiscal adjustment should keep the risk premium elevated. We therefore project the exchange rate at 5.80 reais per dollar.

XP - Balance of Payments Forecasts — USD Bn

	2023	2024	2025 (P)	2026 (P)	2027 (P)
Current account	**-27.1**	**-66.2**	**-72.4**	**-73.3**	**-60.2**
Trade Balance	**92.3**	**65.8**	**59.7**	**58.2**	**63.3**
Exports	343.8	339.9	351.6	354.1	364.3
Imports	251.5	274.0	291.9	295.9	301.0
Services	**-43.8**	**-55.2**	**-53.6**	**-56.5**	**-52.0**
Transportation	-12.7	-15.1	-14.5	-13.0	-12.0
Intellectual property	-5.5	-8.7	-11.2	-13.0	-14.5
Equipment rental	-9.7	-11.2	-11.9	-12.9	-10.5
Cultural services	-4.1	-4.8	0.2	0.4	0.0
Others	-11.8	-15.5	-16.2	-18.0	-15.0
Income	**-75.6**	**-76.8**	**-78.5**	**-75.1**	**-71.5**
Primary Income	-79.5	-81.3	-83.8	-79.6	-76.0
Profits and Dividends	-50.0	-50.6	-55.0	-52.0	-47.0
Interest	-29.7	-31.2	-29.1	-28.0	-26.0
Others	0.3	0.5	0.4	0.4	0.4
Secondary Income	3.9	4.5	5.3	4.5	4.5
FDI	**62.8**	**74.1**	**79.5**	**75.0**	**79.0**
Equity Capital	52.8	64.6	66.5	66.0	70.0
Intercompany transactions	9.9	9.5	13.0	9.0	9.0

Source: BCB, XP

External factors were decisive for the BRL strenghtening over the past year
20 EM currencies vs. US dollar. Sep24 = 100.



Source: BCB, XP

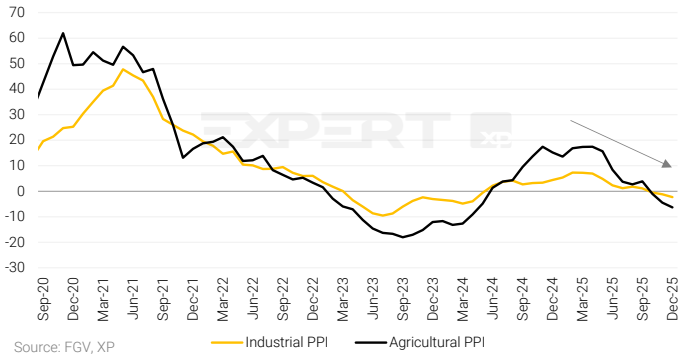
Inflation – Better readings in the short term, but still above the target

Alexandre Maluf

The December IPCA-15 breakdown points to challenges for inflation in 2026. The December IPCA-15 (mid-month preview) print came in line with expectations, but with a worse breakdown than anticipated. Underlying services inflation surprised to the upside, while food prices and industrial goods remained well behaved. We believe that this "two-speed" inflation will continue in the coming readings.

Fundamentals continue to point to low inflation for industrial goods in 2026. Leading indicators suggest a disinflationary

Decline in producer prices in late 2025 reinforces benign short-term inflation scenario
Producer Price Index, 12M (%)



Source: FGV, XP

environment for industrial goods, particularly in the first months of 2026. The industrial producer price index posted a cumulative decline of 2.3% in 2025, indicating no pressure on consumer prices in the short term. In addition, we revised our assumption for the average oil price down, as discussed before. Finally, China continues to "export disinflation" amid industrial productivity gains and more moderate global growth. Considering these factors, **we have lowered our forecast for industrial goods inflation in 2026, from 2.5% to 2.1%.**

Food inflation remains moderate, with a downward bias from protein prices. We continue to project a 4.5% increase for food-at-home prices this year. The safeguard announced by China reinforces the outlook for controlled prices in the domestic market, not only for beef but also for substitutes such as poultry, pork, and eggs. Details of our food inflation scenario can be found here.

Monitored prices will also contribute to curbing IPCA this year. We lowered our forecast for monitored price inflation in 2026, from 3.8% to 3.6%. The main reason for the revision was the incorporation of gasoline price cuts, in line with the lower oil price assumption mentioned above. Adjustments to municipal and state bus fares came in line with our projections. For electricity, we maintain the assumption of a "yellow tariff flag" in December.

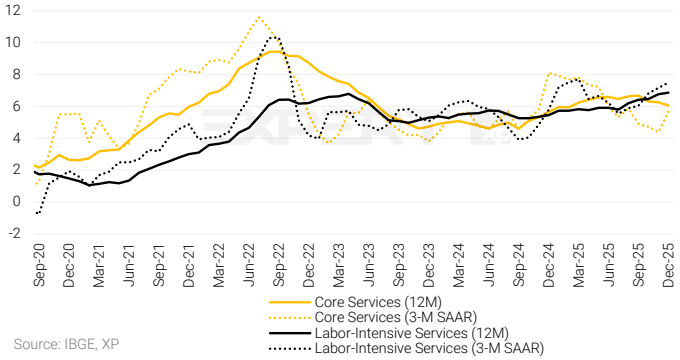
Services inflation will remain elevated throughout 2026. As noted above, underlying services surprised to the upside in the December IPCA-15, reinforcing the reading of inflation persistence. There is room for some moderation in services inflation due to the recent decline in inflation expectations. However, the main driver of services inflation—the labor market—remains tight (see the Activity section). As a result, we anticipate that services inflation will remain considerably above the 3% target throughout the relevant horizon. For this year, we forecast 5.3%.

Given the more benign revisions for industrial goods and monitored prices, we lowered our 2026 IPCA inflation forecast from 4.2% to 4.0%.

For 2027, our scenario considers a moderate currency depreciation and limited scope for further decline in inflation expectations. **Then, we expect inflation to remain stable at 4.0%.**

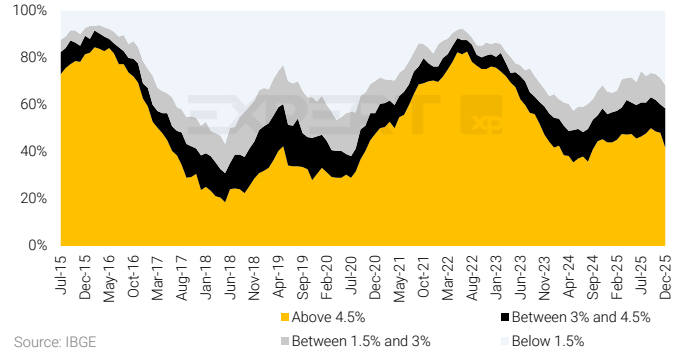
Increased risks for next year. On the upside, there could be further expansionary fiscal measures, leading to demand–supply imbalances in the economy. On the downside, discounts in administered prices — such as bus fares — could return to the radar.

Services inflation should remain elevated amid tight labor market and government's expansionary meaures announced for 2026
IPCA-15 (%)



Source: IBGE, XP

Despite recent easing, around 40% of IPCA components continue to register inflation above the target's upper bound
12M, IPCA-15



Source: IBGE

IPCA Groups — 12M (%)

	2024	2025 (F)	2026 (F)	2027 (F)
Monitored prices	4.7	5.3	3.6	4.0
Market-set prices	4.9	3.9	4.1	4.0
Food at home	8.2	1.4	4.5	5.1
Industrials	2.9	2.4	2.1	2.5
Services	4.8	6.0	5.3	4.6
IPCA headline	**4.8**	**4.3**	**4.0**	**4.0**

Source: IBGE, XP

Monetary Policy – Extension of the easing cycle depends on fiscal reforms

Caio Megale

The inflation dynamics have been better than expected. Stronger BRL, weaker economic activity, cheaper imported goods, and falling food prices have been pushing down inflation. Short and medium-term inflation expectations have receded, albeit remaining above the target.

This is a considerably better scenario than when the Copom was forced to hike the Selic rate to 15.00%. With inflation running around 4.0%, real interest rates are reaching 11.0% - quite high even for Brazilian standards.

We see reasons for the Copom to remain cautious for a little longer. The labor market remains tight, and inflationary expectations are still above the target. Therefore, under a risk-balance approach, it seems wise for the Copom to wait longer before starting a monetary easing cycle, thus ensuring the continuity of the disinflation process.

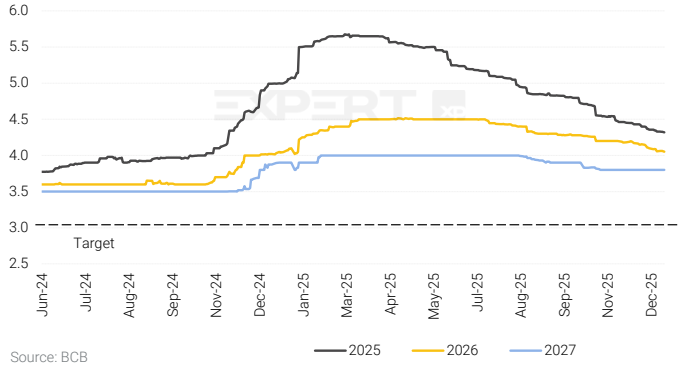
We continue to see the Copom starting an easing cycle in March; and a pause to evaluate in the second half of the year. We foresee five consecutive 50-bp cuts until the Selic rate reaches 12.50%. In real terms, the policy rate would be around 8.0% – above what we consider the neutral level –, reflecting the fiscal challenges expected for the next presidential term.

2027: insufficient fiscal adjustment should limit additional rate cuts. As described in the previous sections, we assume in our baseline scenario that some measures on the fiscal expenditure side will be implemented by the next government. But these should be insufficient to stabilize the debt-to-GDP ratio. In that scenario, we see limited room for the central bank to resume its easing cycle next year, considering that fiscal policy will remain expansionary.

We see the Selic rate at 11.00% in YE 2027.

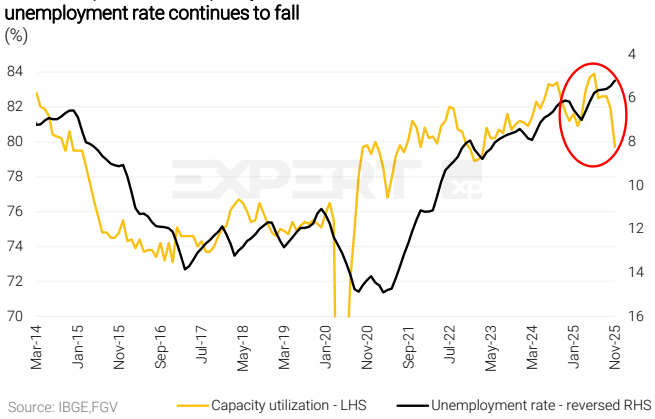
Alternative scenarios will depend on fiscal policy after 2027. If not even the "insufficient adjustments" that we contemplate in the baseline scenario take place, the central bank will possibly find no room for rate cuts next year. At the same time, if a more comprehensive set of fiscal adjustments is taken, the Selic rate could reach its neutral level – which we estimate at 5.5% in real terms.

Despite recent improvements, inflation expectations are stabilizing considerably above the target
Median of market expectations from the Focus report (%)



Source: BCB

Factors of production: capacity utilization declined, but unemployment rate continues to fall
(%)



Source: IBGE,FGV

XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current		2027 (F) Current
Economic Activity												
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,295	2,280	▼	2,412	2,434	▲	2,463
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,672	12,721	▲	13,508	13,509	▲	14,287
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.3	2.3	▬	1.7	1.7	▬	1.2
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	5.3	5.3	▬	5.8	5.8	▬	6.2
Inflation												
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.3	4.3	▬	4.2	4.0	▼	4.0
Monetary Policy												
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.0	12.5	▲	11.0
Public Finances												
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.4	-0.5	▼	-0.5	-0.3	▲	-0.3
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	-0.1	▼	-0.1	0.0	▲	0.5
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.5	▼	-0.5	-0.4	▲	-0.5
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.2	-8.2	▼	-8.4	-8.3	▲	-8.2
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.8	79.1	▲	83.7	84.0	▲	88.3
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.4	65.5	▲	69.9	70.1	▲	74.2
External Accounts and FX												
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.49	5.49	▬	5.50	5.60	▲	5.80
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	58.3	59.7	▲	60.4	58.2	▼	63.3
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	350.6	351.6	▲	357.6	354.1	▼	364.3
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	292.3	291.9	▼	297.2	295.9	▼	301.0
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-73.7	-72.4	▲	-67.5	-73.3	▼	-60.2
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-3.2	▲	-2.8	-3.0	▼	-2.4
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	75.6	79.5	▲	70.0	75.0	▲	79.0
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.3	3.5	▲	2.9	3.1	▲	3.2

* Excludes part of court-ordered payments and other expenditures

Source: IBGE, BCB, BBG, XP

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